

21STCV00366 21STCV00366

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Case Number: 21STCV00366 Hearing Date: July 8, 2026 Dept: 32

ashley

olsen, an individual

Plaintiff,

v.

RANCHO PHYSICAL THERAPY, INC., a

California corporation; and DOES 1-20, inclusive,

Defendants.

Case No.: 21STCV00366

Hearing Date: July 8, 2026

[TENTATIVE]

order RE:

plaintiff's motion to withdraw from

arbitration

BACKGROUND

On January 6, 2021, Plaintiff Ashley

Olsen filed suit against Defendant Rancho Physical Therapy, Inc. (Rancho),

alleging nine causes of action stemming from alleged discrimination,

retaliation, and wrongful termination.

On July 14, 2021, the Court granted Rancho's motion to compel arbitration.

On January 18, 2023, Plaintiff filed a motion to compel Rancho to pay arbitration fees.

On January 30, 2023, the Court granted the parties' stipulation to arbitrate the matter and for Rancho to pay Plaintiff's case administrative fee of \$1,500.

On December 10, 2024, Plaintiff filed an amendment naming OptimisCorp as Doe 1.

On May 19, 2026, Plaintiff filed the instant motion to withdraw from arbitration. Defendants filed an opposition on June 25, 2026. Plaintiff filed a reply on June 30, 2026.

LEGAL STANDARD

"In an employment or consumer arbitration that requires . . . that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach." (Code Civ. Proc., § 1281.98(a)(1).) "If the drafting party materially breaches the arbitration agreement and is in default under subdivision (a), the employee or consumer may unilaterally elect to . . . [w]ithdraw the claim from arbitration and proceed in a court of appropriate jurisdiction." (Id., § 1281.98(b)(1).)

However, the Supreme Court has rejected a "rigid construction" of the statute which inflexibly mandates waiver of arbitral rights in every instance of untimely payment. (*Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, 323.) Instead, the court reiterated "the long-standing principle, established by statute and common law, that one party's nonperformance of an obligation automatically extinguishes the other party's contractual duties only when nonperformance is willful, grossly

negligent, or fraudulent.” (Ibid.) Section 1281.98 does not “strip companies and employers of their contractual right to arbitration where nonpayment of fees results from a good faith mistake, inadvertence, or other excusable neglect.” (Ibid.)

DISCUSSION

Plaintiff moves to withdraw from arbitration based on Defendants’ failure to pay a \$154,000 invoice issued on November 7, 2025. (Diamond Decl. ¶ 18, Ex. M.) On November 24, 2025, Defendants indicated to the arbitrator that they would not be able to pay by the deadline of December 7, 2025. (Id., ¶ 19.) Defendants did not pay by December 7, 2025. (Id., ¶ 21.) On January 27, 2026, the arbitrator terminated the arbitration. (Id., ¶ 25, Ex. R.)

Defendants do not oppose reinstating the court action. However, Defendants request a reprieve from sanctions given the circumstances behind the nonpayment. Specifically, the Palisades Fire destroyed Defendants’ primary place of business and created severe economic strain.

Sections 1281.98 and 1281.99 provide for mandatory monetary sanctions in the event of a breach. (See Code Civ. Proc., §§ 1281.98(c)(2) [“The court shall impose sanctions on the drafting party in accordance with Section 1281.99”]; 1281.99 [“The court shall impose a monetary sanction against a drafting party that materially breaches an arbitration agreement”].) “[S]ection 1281.99’s mandatory sanction provision . . . requires the drafting party to pay any reasonable expenses incurred by the employee or consumer as a result of its failure to timely pay arbitration fees . . . whether the nonpayment was willful or not.” (Hohenshelt, supra, 18 Cal.5th at p. 339.)

However, Plaintiff presents no evidence of the reasonable expenses incurred as a result of the breach. Thus, the Court has no information by which to determine the amount of appropriate sanctions. Instead, Plaintiff requests permission to file a separate motion for attorney’s fees. (Mtn. 10:13-16.) However, such a motion is permissive. (See Code Civ. Proc., § 1281.98(c)(1) [“The employee or consumer may bring a motion, or a separate action, to recover all attorney’s fees and all costs associated with the abandoned arbitration proceeding”].) The Court finds that recovery of such

attorney's fees is unwarranted under the circumstances. The Court would have been inclined to grant sanctions under section 1281.99(a) had Plaintiff identified a reasonable amount—i.e., “the reasonable expenses, including attorney's fees and costs, incurred by the employee or consumer as a result of the material breach.” (Code Civ. Proc., § 1281.99(a).)

CONCLUSION

Plaintiff's motion to withdraw from arbitration is GRANTED.